

		Accordingly, the Court finds Schutzman has failed to meet his burden to show the statements were provably false as opposed to Stern's mere opinions. Defendant's request for judicial notice is GRANTED, as to the existence of the documents. (Evid. Code §452(d).) Plaintiff's objection to paragraph 11 of Stern's declaration is SUSTAINED. The remainder of plaintiff's objections are OVERRULED. For the foregoing reasons, the motion is GRANTED. Case Management Conference is CONTINUED to October 9, 2026, at 9:30 a.m. Defendant Stern shall give notice of this ruling.
8	FFC Mortgage Corp. v. Consumer Tax Advocate, LLC.	Before the Court is a demurrer by Consumer Tax Advocate LLC (CTA), Garrett Holdridge and Robert Mullen to plaintiff FFC Mortgage Corp.'s (FFC) second amended complaint (SAC). The demurrer is OVERRULED as to CTA and Holdridge and SUSTAINED as to Mullen, without leave to amend, as set forth herein. The role of a demurrer is "to test the legal sufficiency of a complaint." (<i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994, citations omitted.) A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (See <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (<i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556.) <u>Intentional Misrepresentation – 2nd cause of action as to CTA and Holdridge</u> The elements of a fraud cause of action are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citation.]" (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 173, internal quotation marks omitted.) "Fraud allegations 'involve a serious attack on character' and therefore are pleaded with specificity. [Citation.] General and conclusory allegations are insufficient. [Citation.] The particularity requirement demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered. [Citation.]" (<i>Cansino v. Bank of Am.</i> (2014) 224 Cal.App.4th 1462, 1469.)

In the SAC at paras. 37 & 38, the plaintiff identifies two misrepresentations upon which the fraud cause of action is based: "37. From about September 2022 through about the end of 2023, CTA through Holdridge represented to O'Bryan that CTA would diligently seek the approval of the assignment of FFC's Sublease to CTA. 38. Throughout the time CTA maintained its business operation at the Premises, Holdridge assured O'Bryan that CTA would meet its obligations under the Affiliate Agreement even if CTA might move its operations to a different location." Plaintiff further alleges at paras. 21 and 25 that Holdridge assured plaintiff CTA would cover the rent through the end of the term. The Court finds the misrepresentations sufficiently pled for purposes of demurrer.

As to the reliance element, plaintiff alleges it did not undertake to find another tenant based on the representations by the defendants. (See SAC ¶43 – plaintiff "justifiably relied" by "not undertaking attempts to look for another tenant for the Premises earlier as Holdridge indicated that CTA would honor the rent payment obligation until the end of the Term.") The Court finds this allegation of reliance sufficient at this stage.

As to damages, Plaintiff alleges it "suffered damages in excess of the minimum jurisdictional limit of this Court, totaling at least \$65,000 in compensatory damages alone—the sum due for the rent unpaid under the Affiliate Agreement." (SAC ¶45) The foregoing is a sufficient allegation of damages to get past demurrer.

Accordingly, the demurrer by CTA and Holdridge is **OVERRULED** as to the 2nd cause of action for intentional misrepresentation.

Intentional Misrepresentation – 2nd cause of action as to Robert Mullen

In the Court's 11/10/25 Minute Order, the demurrer by Mullen was sustained because there were no allegations of a fraudulent statement by Mullen. The SAC again fails to assert a specific misrepresentation made by Mullen or the details relating thereto.

In the opposition, FFC argues that paragraph 13, in the section of the SAC titled "The Affiliate Agreement," alleges the misrepresentation by Mullen. However, this paragraph does not identify a statement by Mullen.

Accordingly, the demurrer by Mullen to the 2nd cause of action for Intentional Misrepresentation is **SUSTAINED**.

Because this is the second time the Court has considered this matter, and no misrepresentation has been identified, and because plaintiff has not identified any facts in the opposition which might be added to a future pleading, the demurrer as to Mullen is **SUSTAINED WITHOUT LEAVE TO AMEND**.

Negligent Misrepresentation – 3rd cause of action as to CTA and Holdridge